CALLAWAY HOSPITAL DISTRICT

Statements of Financial Position

July 31, 2025 and 2024

Assets	2025	2024
Current assets:		
Cash and cash equivalents	$ 3,484,969	3,671,493
Investments	6,506,922	6,008,785
Patient accounts receivable, net of contractual adjustments and estimated uncollectibles of $1,740,300 in 2025 and $1,391,200 in 2024	1,526,471	1,692,566
Assets whose used is limited or restricted, required for current liabilities	260,377	265,559
Other accounts receivable	108,207	293,211
Accrued interest receivable	19,988	8,218
Supplies	507,128	563,884
Prepaid expenses	100,417	55,927
Property taxes receivable	152,528	146,002
Estimated third-party payor settlements	2,078,239	486,390
Total current assets	14,745,246	13,192,035
Assets whose use is limited or restricted, for debt payments	158,586	157,711
Capital assets	18,696,027	18,130,981
Less accumulated depreciation	10,770,993	10,036,990
Net capital assets	7,925,034	8,093,991
Goodwill, net of amortization of $25,000 in 2025	125,000	150,000
Notes receivable	9,333	-
	$ 22,963,199	21,593,737

See accompanying notes to financial statements.

Liabilities and Net Position	2025	2024
Current liabilities:		
Current installments of:		
Long-term debt	$ 260,000	265,000
Subscription liabilities	266,178	246,055
Accounts payable	900,547	543,366
Accrued expenses:		
Salaries, wages and benefits	118,252	217,485
Compensated absences and benefits	604,321	529,425
Interest	377	559
Advanced grants - provider relief funds	500,000	1,500,000
Estimated third-party payor settlements	-	25,000
Total current liabilities	2,649,675	3,326,890
Accrued compensated absences and benefits, net of current portion	276,000	272,000
Long-term debt, excluding current installments	180,000	440,000
Subscription liabilities, excluding current installments	1,980,851	2,150,117
Total liabilities	5,086,526	6,189,007
Net position:		
Invested in capital assets, net of related debt	5,656,968	5,416,089
Unrestricted	12,219,705	9,988,641
Total net position	17,876,673	15,404,730
	$ 22,963,199	21,593,737

CALLAWAY HOSPITAL DISTRICT

Statements of Revenues, Expenses and Changes in Net Position

Years Ended July 31, 2025 and 2024

	2025	2024
Operating revenues:		
Net patient service revenue	$ 13,394,730	12,194,787
Provision for bad debts	(228,864)	(196,945)
Net patient service revenue, less provision for bad debts	13,165,866	11,997,842
Other revenue, net	2,687,779	2,338,410
Total operating revenues	15,853,645	14,336,252
Operating expenses:		
Salaries and wages	5,947,856	5,608,058
Employee benefits	1,452,477	1,460,123
Supplies and other	7,457,770	6,337,377
Depreciation and amortization	797,263	814,298
Total operating expenses	15,655,366	14,219,856
Operating income	198,279	116,396
Nonoperating revenues (expenses):		
Tax revenue	311,100	311,100
Investment income	220,449	300,746
Interest expense	(80,470)	(86,959)
Net realized and unrealized gains on investments	223,690	86,388
Gain on disposal of assets	1,213	117,418
Noncapital grants and contributions	1,597,682	185,821
Total nonoperating revenues	2,273,664	914,514
Excess of revenues over expenses	2,471,943	1,030,910
Net position, beginning of year	15,404,730	14,728,820
Prior period adjustment, application of GASB 101, compensated absences accrual adjustment	-	(355,000)
Net position, beginning of year as restated	15,404,730	14,373,820
Net position, end of year	$ 17,876,673	15,404,730

See accompanying notes to financial statements.

CALLAWAY HOSPITAL DISTRICT

Statements of Cash Flows

Years Ended July 31, 2025 and 2024

Decrease in Cash and Cash Equivalents	2025	2024
Cash flows from operating activities:		
Cash received from patients, third-party payors, and other revenue	$ 14,587,895	14,051,348
Cash paid to employees	(5,968,193)	(5,717,606)
Cash paid to suppliers and contractors	(8,536,133)	(7,710,629)
Net cash provided by operating activities	83,569	623,113
Cash flows from noncapital financing activities:		
Tax funds received	39,945	40,030
Noncapital grants and contributions	597,682	185,821
Net cash provided by noncapital financing activities	637,627	225,851
Cash flows from capital and related financing activities:		
Tax funds received for repayment of debt	264,629	265,222
Proceeds from the disposal of assets	7,953	117,418
Principal payments on long-term debt	(265,000)	(250,000)
Principal payments on subscription liabilities	(249,887)	(238,198)
Interest paid	(80,652)	(87,087)
Capital expenditures	(509,302)	(732,373)
Net cash used by capital and related financing activities	(832,259)	(925,018)
Cash flows from investing activities:		
Net investments purchased	(274,447)	(1,889,885)
Notes receivable advances	(14,000)	-
Investment income received	208,679	308,916
Net cash used by investing activities	(79,768)	(1,580,969)
Net decrease in cash and cash equivalents	(190,831)	(1,657,023)
Cash and cash equivalents, beginning of year	4,094,763	5,751,786
Cash and cash equivalents, end of year	$ 3,903,932	4,094,763
Reconciliation of cash and cash equivalents to the statements of financial positon:		
Cash and cash equivalents	$ 3,484,969	3,671,493
Assets whose use is limited or restricted:		
For current liabilities	260,377	265,559
For debt payments	158,586	157,711
	$ 3,903,932	4,094,763

(Continued)

CALLAWAY HOSPITAL DISTRICT

Statements of Cash Flows
(Continued)
Years Ended July 31, 2025 and 2024

Reconciliation of Operating Income to Net Cash Provided by Operating Activities		2025	2024
Operating income	$	198,279	116,396
Adjustments to reconcile operating income to net cash provided by operating activities:			
Depreciation and amortization		797,263	814,298
Provision for bad debts		228,864	196,945
Note receivable loan forgiveness		4,667	-
Decrease (increase) in:			
Patient accounts receivable		(62,769)	(29,304)
Other accounts receivable		185,004	108,845
Supplies		56,756	129,765
Prepaid expenses		(44,490)	(8,042)
Estimated third-party payor settlements		(1,591,849)	(391,390)
Increase (decrease) in:			
Accounts payable		357,181	(34,852)
Accrued payroll and withheld payroll taxes		(99,233)	(151,619)
Accrued compensated absences and benefits		78,896	42,071
Estimated third-party payor settlements		(25,000)	(170,000)
Net cash provided by operating activities	$	83,569	623,113

Supplemental Disclosure of Cash Flows Information

		2025	2024
Capital asset additions through a subscription liability	$	100,744	-

See accompanying notes to financial statements.

CALLAWAY HOSPITAL DISTRICT

Statements of Financial Position of
Callaway Hospital District Foundation, Inc. (a Component Unit)

December 31, 2024 and 2023

	2024	2023
Assets:		
Cash and cash equivalents	$ 88,413	356,713
Certificates of deposit at fair value (original cost of $353,545 as of December 31, 2023)	-	345,512
Mutual funds at fair value (original cost of $442,531 and $88,188 as of December 31, 2024 and 2023, respectively)	461,164	89,804
Exchange traded funds at fair value (original cost of $356,719 as of December 31, 2024)	412,456	-
Real Estate Investment Trust at fair value (original cost of $3,701 and $70,328 as of December 31, 2024 and 2023, respectivley)	2,878	45,235
Accrued interest	-	8,827
Other assets	180,046	175,668
Total assets	$ 1,144,957	1,021,759
Net assets without donor restrictions	$ 1,144,957	1,021,759

See accompanying notes to financial statements.

CALLAWAY HOSPITAL DISTRICT

Statements of Activities and Changes in Net Assets of
Callaway Hospital District Foundation, Inc. (a Component Unit)

Years Ended December 31, 2024 and 2023

	2024	2023
Net assets without donor restrictions		
Revenues and gains:		
Lifeline	$ 4,797	5,615
Contributions	3,955	3,551
Investment income	129,237	111,258
Total revenues and gains without donor restrictions	137,989	120,424
Expenses:		
Program services	8,062	6,276
Grants to others	4,000	21,506
Administrative and general	2,729	4,328
Total expenses	14,791	32,110
Increase in net assets without donor restrictions	123,198	88,314
Net assets, beginning of year	1,021,759	933,445
Net assets, end of year	$ 1,144,957	1,021,759

See accompanying notes to financial statements.